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Case Number: 26STCV05023 Hearing Date: September 16, 2026 Dept: 224

Pineda v. Omnilife USA, Inc.

TENTATIVE RULING

There is a valid, enforceable arbitration agreement. The dispute is covered by the agreement. The FAA governs the agreement. The Agreement bears at most a modest degree of procedural unconscionability, and Plaintiff has not established any substantive unconscionability.

The motion is GRANTED. Plaintiff and Defendants are ordered to arbitration. The Action is stayed.

The Case Management Conference is vacated and a Post Arbitration Status Conference is set for September 30, 2027 at 8:30 a.m. A joint status report is due five court days before the hearing.

ANALYSIS

Introduction

On February 13, 2026, Plaintiff Arnoldo Pineda filed his Complaint against Defendants Omnilife USA, Inc. and Jorge Tisnado, alleging eleven causes of action: (1) retaliation in violation of Labor Code section 98.6; (2) retaliation in violation of Labor Code section 1102.5; (3) wrongful termination in violation of public policy; (4) failure to pay overtime compensation; (5) failure to pay minimum wages; (6) failure to provide meal periods; (7) failure to provide rest breaks; (8) failure to pay wages due upon termination and waiting time penalties; (9) failure to issue accurate and itemized wage statements; (10) failure to indemnify; and (11) unlawful business practices in violation of Business and Professions Code section 17200. The first through third causes of action are alleged against Omnilife only; the fourth through eleventh are alleged against both Defendants.

On March 23, 2026, Defendants filed their Answer.

On April 22, 2026, Defendants filed the instant Motion to Compel Arbitration and to Stay the action.

On May 22, 2026, Plaintiff filed his Opposition.

On May 29, 2026, Defendants filed their Reply.

Motion to Compel Arbitration

Defendants Omnilife USA, Inc. ("Omnilife") and Jorge Tisnado (collectively, "Defendants") move the Court for an order: (i) compelling Plaintiff Arnoldo Pineda to submit all causes of action set forth in his Complaint to binding arbitration in lieu of court proceedings; and (ii) staying the instant lawsuit pending completion of such arbitration.

Legal Standard

In a motion to compel arbitration, the moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. The burden then shifts to the resisting party to prove by a preponderance of evidence a ground for denial (e.g., fraud, unconscionability, etc.). (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413-414; Hotels Nevada v. L.A. Pacific Center, Inc. (2006) 144 Cal.App.4th 754, 758.)

Generally, on a petition to compel arbitration, the court must grant the petition unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for revocation of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2; Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-219.)

"California has a strong public policy in favor of arbitration and any doubts regarding the arbitrability of a dispute are resolved in favor of arbitration." (Coast Plaza Doctors Hospital v. Blue Cross of California (2000) 83 Cal.App.4th 677, 686.) "This strong policy has resulted in the general rule that arbitration should be upheld unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute." (Ibid. [internal quotations omitted].) This is in accord with the liberal federal policy favoring arbitration agreements under the Federal Arbitration Act ("FAA"), which governs all agreements to arbitrate in contracts "involving interstate commerce." (9 U.S.C. § 2, et seq.; Higgins v. Superior Court (2006) 140 Cal.App.4th 1238, 1247.)

The Existence of an Agreement

A party to an arbitration agreement may seek a court order compelling the parties to arbitrate a dispute covered by the agreement. (CCP § 1281.2) The party seeking arbitration has the initial "burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense." (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.4th 836, 842.) A moving party meets its initial burden by showing the agreement at issue exists, and need only establish its validity on challenge by opponent. (HM DG, Inc. v. Amini (2013) 219 Cal.App.4th 1100, 1114; Espejo v. Southern Calif. Permanente Med. Group (2016) 246 Cal.App.4th 1047, 1060.)

Defendants submit the Arbitration Agreement in question through the Declaration of Samara Irma Lopez Reyes, Omnilife's Human Resources International Manager, and the Declarations of Monica Vargas, Omnilife's In-House Legal Counsel. The Agreement is a standalone five-page document entitled "Mutual Agreement to Binding Arbitration of Claims," bearing Plaintiff's handwritten signature and dated March 17, 2025 (Lopez Reyes Decl. ¶ 5, Exh. A). Defendants also submit an earlier agreement in substantially the same form, executed by Plaintiff on November 12, 2021. (Vargas Reply Decl. ¶ 6, Exh. 1).

The Agreement provides that "Employee and the Company agree to arbitrate any claim, dispute, and/or controversy that either Employee may have against the Company (or its owners, directors, officers, managers, employees, agents . . .) or the Company may have against Employee, arising from, related to, or having any relationship or connection whatsoever with

Employee's seeking employment, Employee's employment, or Employee's other association with the Company," and that included within its scope "are all disputes, whether based on tort, contract, statute (including, but not limited to, any claims of discrimination and harassment . . . or any other state or federal law or regulation), equitable law, or otherwise." (Lopez Reyes Decl., Exh. A, p. 1.) Above the signature line, the Agreement states that it is a voluntary agreement, that "Employee understands that by signing this Arbitration Agreement, Employee is giving up the right to a jury trial," and that Employee "has been given the opportunity to discuss the Arbitration Agreement with private legal counsel." (Id., pp. 1, 5.)

"With respect to the moving party's burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court." (Baker v. Italian Maple Holdings, LLC, 13 Cal. App. 5th 1152, 1160 (2017).)

Plaintiff declares that he "do[es] not recall signing" either the 2021 or the 2025 Agreement, that he recalls receiving the 2025 Agreement, and that "[i]n the past" he had an issue with Omnilife's HR "regarding someone else signing my direct deposits and cashing out two of my checks." (Pineda Decl. ¶¶ 2, 4-6.) He does not state that the signature on either Agreement is not his.

That showing is insufficient. "[T]he fact that a person does not recall signing the agreement neither creates a factual dispute as to the signature's authenticity nor affords an independent basis to find that a contract was not formed." (Iyere v. Wise Auto Group (2023) 87 Cal.App.5th 747, 758.) In Ramirez v. Golden Queen Mining Co., LLC (2024) 102 Cal.App.5th 821, 836, the plaintiff's declaration that he did not recall being presented with or signing the agreement, and that no one explained it to him, did not create a factual dispute where he never asserted the signature was not his. Plaintiff's declaration is materially indistinguishable.

Plaintiff's Opposition asserts that "the signature on Defendants' Arbitration Agreement . . . is not his actual signature." (Opp. at 1:15-17.) Argument of counsel is not evidence, and the declaration on which the Opposition rests contains no such statement. The reference to an undated payroll irregularity, unaccompanied by documents, dates, or any connection to the Agreement, is speculative. By contrast, two declarants with access to Plaintiff's personnel file attest that the signatures on the Agreements match Plaintiff's signature on his other personnel documents, exemplars of which are attached. (Lopez Reyes Decl. ¶ 5; Vargas Decl. ¶ 8; Vargas Reply Decl. ¶ 8, Exh. 2.)

Plaintiff's related assertion that there was no meeting of the minds because he did not know what arbitration was and no one explained the document to him does not avoid enforcement. Failure to read or understand an arbitration clause is no defense. (Metters v. Ralphs Grocery Co. (2008) 161 Cal.App.4th 696, 701; Brookwood v. Bank of America (1996) 45 Cal.App.4th 1667, 1673; Madden v. Kaiser Found. Hosp. (1976) 17 Cal.3d 699, 710.)

Plaintiff further argues the 2025 Agreement lacks consideration and is illusory because he was terminated five days after execution, leaving no continued employment to serve as consideration.

A contract is illusory where one party assumes no obligation at all. (Harris v. TAP Worldwide, LLC (2016) 248 Cal.App.4th 373, 385.) The Agreement here binds both sides: it reaches claims "that either Employee may have against the Company . . . or the Company may have against Employee." (Lopez Reyes Decl., Exh. A, p. 1, emphasis added.) Mutual promises to arbitrate are themselves sufficient consideration. (Serafin v. Balco Properties Ltd., LLC (2015) 235 Cal.App.4th 165, 182.) The Agreement further provides that it "can only be revoked or modified by a writing signed by all Parties which specifically states the intent to revoke or modify the Arbitration Agreement," which forecloses any claim of unilateral modification. (Id., p. 4; cf. Peleg v. Neiman Marcus Group, Inc. (2012) 204 Cal.App.4th 1425, 1465.)

The brevity of the post-execution employment period does not alter the analysis. Courts do not weigh the adequacy of consideration. (Whelan v. Swain (1901) 132 Cal. 389, 391.) Plaintiff's employment continued after he signed, the Agreement guaranteed no term of employment, and Plaintiff cites no authority holding that consideration is extinguished retroactively when at-will employment ends soon after execution. Plaintiff's suggestion of "gamesmanship" is unsupported. The Reply establishes that the March 17, 2025 agreement was distributed as part of a company-wide update to the California form. (Vargas Reply Decl. ¶ 9, Exh. 3.)

Defendant Tisnado did not sign the Agreement, but its terms expressly extend to claims against the Company's "owners, directors, officers, managers, employees, [and] agents." Tisnado is sued as an officer for conduct within the scope of his employment and may enforce the Agreement as an agent and intended third-party beneficiary. (Thomas v. Westlake (2012) 204 Cal.App.4th 605, 614-615; Garcia v. Pexco, LLC (2017) 11 Cal.App.5th 782, 786-788.)

There is an existing and enforceable Agreement.

Further, the dispute is covered by the Agreement. All eleven causes of action arise out of Plaintiff's employment with Omnilife and his termination.

An agreement to arbitrate exists. The dispute is covered by the Agreement.

The Federal Arbitration Act

Federal law applies to arbitration provisions in contracts involving interstate commerce. (Higgins v. Superior Court (2006) 140 Cal.App.4th 1238, 1247.) Where the FAA applies, state procedural rules nonetheless govern the determination of a motion to compel arbitration. (Vivid Video, Inc. v. Playboy Ent. Group, Inc. (2007) 147 Cal.App.4th 434, 440.) "Even when the Federal Arbitration Act applies, state law governs such matters as who is bound by and who may enforce an arbitration agreement." (Thomas v. Westlake (2012) 204 Cal.App.4th 605, 614, fn. 7.)

The Agreement expressly provides that "[e]xcept as provided in this Arbitration Agreement, the Federal Arbitration Act shall govern the interpretation, enforcement, and all proceedings pursuant to this Arbitration Agreement." (Lopez Reyes Decl., Exh. A, p. 2.) Defendants have further shown that Omnilife's operations involve interstate and international commerce, including distribution centers in Mexico and the importation of products to and from locations in California, Texas, Brazil, and Spain. (Vargas Decl. ¶ 4.)

The FAA applies.

Unconscionability

Plaintiff further argues that the Arbitration Agreement is unenforceable as it is unconscionable.

For an arbitration agreement to be unenforceable as unconscionable, both procedural and substantive unconscionability must be present. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.) Procedural unconscionability includes oppression arising from unequal bargaining power causing an absence of meaningful choice and real negotiating, and surprise due to hidden terms drafted by the party seeking to enforce the provisions. (Gatton v. T-

Mobile USA, Inc. (2007) 152 Cal.App.4th 571, 581.) An arbitration provision is substantively unconscionable where it applies to one side, but not the other. (Higgins v. Sup. Ct. (2006) 140 Cal.App.4th 1238, 1254.)

Procedural Unconscionability

Plaintiff asserts the Agreement is procedurally unconscionable because it was a contract of adhesion presented on a take-it-or-leave-it basis, because he was afforded no opportunity to negotiate its terms or consult an attorney, and because the applicable arbitration rules were neither included nor attached.

"Adhesion contracts are form contracts a party with superior bargaining power offers on a take-it-or-leave-it basis." (Torrecillas v. Fitness International, LLC (2020) 52 Cal.App.5th 485.) Arbitration provisions imposed on a take-it-or-leave-it basis indicate procedural unconscionability. (Thompson v. Toll Dublin, LLC (2008) 165 Cal.App.4th 1360, 1372.) But "a compulsory predispute arbitration agreement is not rendered unenforceable just because it is required as a condition ... or offered on a 'take it or leave it' basis." (Lagatree v. Luce, Forward, Hamilton & Scripps (1999) 74 Cal. App. 4th 1105, 1127, Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1292.) That the Agreement was presented as a condition of employment therefore establishes, at most, a modest or minimal degree of oppression.

In the absence of "surprise or other sharp practices", Courts do not recognize that "adhesive" arbitration agreements establish a high degree of procedural unconscionability. (Baltazar v. Forever 21 Inc. (2016) 62 Cal.4th 1237, 1246.)

Plaintiff has not established that he could not negotiate the terms of the agreement or opt out of the agreement, as he did not ask any questions or indicate that he sought further explanation of the agreement. He has not established any surprise or sharp practices that establish a high degree of procedural unconscionability.

Regardless, the fact that the arbitration agreement may have been presented on a take it or leave it basis or that there is unequal bargaining power only establishes at most a modest degree of procedural unconscionability. (Torrecillas, supra, 52 Cal.App.5th at p.493; Baltazar v. Forever 21 Inc., supra, 62 Cal.4th at p.1246.)

Plaintiff's contention that the failure to attach the arbitration rules aggravates procedural unconscionability is not persuasive. The Agreement identifies the applicable rules by name, provides the internet address at which they may be obtained, and advises that a copy may be requested from the Company. (Lopez Reyes Decl., Exh. A, pp. 2-3.)

Procedural unconscionability includes oppression arising from unequal bargaining power causing an absence of meaningful choice and real negotiating, and surprise due to hidden terms drafted by the party seeking to enforce the provisions. (Gatton v. T-Mobile USA, Inc. (2007) 152 Cal.App.4th 571, 581.) The absence of "authentic informed choice," due to the lack of straightforward, unbiased explanations of an agreement, may constitute procedural unconscionability. (Gentry v. Sup. Ct. (2007) 42 Cal.4th 443, 470.) Surprise caused by provisions buried in a long contract, language not fully explained, or misleading captions, indicates procedural unconscionability. (Thompson v. Toll Dublin, LLC (2008) 165 Cal.App.4th 1360, 1373.)

However, it is well settled law that failure to read or understand an arbitration clause is no defense to enforcement or grounds to avoid arbitration. (See Metters v. Ralphs Grocery Co. (2008) 161 Cal.App.4th 696, 701; Brookwood v. Bank of America (1996) 45 Cal.App.4th 1667, 1673; Madden v. Kaiser Found. Hosp. (1976) 17 Cal.3d 699, 710.)

As such, though not dispositive, there exists at most a minimal degree of procedural unconscionability in the Agreement.

Substantive Unconscionability

Plaintiff further argues that the Agreement is substantively unconscionable because it is presumptively so under Ingle v. Circuit City Stores, Inc. (9th Cir. 2003) 328 F.3d 1165, and because it contains no express provision for discovery and does not attach the applicable discovery rules.

"A provision is substantively unconscionable if it 'involves contract terms that are so one-sided as to "shock the conscience," or that impose harsh or oppressive terms.' [Citation.] The phrases 'harsh,' 'oppressive,' and 'shock the conscience' are not synonymous with 'unreasonable.' Basing an unconscionability determination on the reasonableness of a contract provision would inject an inappropriate level of judicial subjectivity into the analysis. ¿With a concept as nebulous as "unconscionability" it is important that courts not be thrust in the paternalistic role of intervening to change contractual terms that the parties have agreed to merely because the court believes the terms are unreasonable. The terms must shock the

conscience.' [Citations.]" 22

(Walnut Producers of California v. Diamond Foods, Inc. supra, 187 Cal.App.4th at 647-48.)

Plaintiff's reliance on Ingle is misplaced. Decisions of the Ninth Circuit on questions of California law are not binding on this Court, and no California decision has adopted Ingle's presumption that employer-drafted arbitration agreements are substantively unconscionable. That presumption cannot be reconciled with Baltazar and Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 911, which place the burden of proof on the party asserting the defense. In any event, the Agreement is bilateral on its face, extending to claims by the Company against the Employee. (Lopez Reyes Decl., Exh. A, p. 1.) It therefore does not "appl[y] to one side, but not the other." (Higgins, supra, 140 Cal.App.4th at p. 1254.)

Plaintiff's discovery argument rests on a factual premise the record does not support. The Agreement expressly provides that "[t]he Parties shall conduct discovery in accordance with JAMS' Employment Rules and Procedures then in effect." (Lopez Reyes Decl., Exh. A, p. 3.) Incorporation of an established provider's employment rules satisfies the adequate-discovery requirement. (Roman v. Superior Court (2009) 172 Cal.App.4th 1462, 1475-1476; Dotson v. Amgen, Inc. (2010) 181 Cal.App.4th 975, 983-984.) Fitz v. NCR Corp. (2004) 118 Cal.App.4th 702, on which Plaintiff relies, involved an agreement that affirmatively limited the parties to two depositions and no expert witnesses. The Agreement here imposes no comparable restriction.

Plaintiff has not established any substantive unconscionability. Because both procedural and substantive unconscionability must be present, the defense fails. (Armendariz, supra, 24 Cal.4th at p. 114.)

Conclusion

There is a valid, enforceable arbitration agreement. The dispute is covered by the agreement. The FAA governs the agreement. The Agreement bears at most a modest degree of procedural unconscionability, and Plaintiff has not established any substantive unconscionability.

The motion is GRANTED. Plaintiff and Defendants are ordered to arbitration.

Stay

This action is ordered stayed pending resolution of the arbitration. (Code Civ. Proc., § 1281.4.)

The Case Management Conference is VACATED and a Post Arbitration Status Conference is set for September 30, 2027 at 8:30 a.m. A joint status report is due five court days before the hearing.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at SMCDept224@lacourt.org indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.